

MadeByKreative — Banner Pricing Deep Dive

Banner Pricing — Deep Dive

What should the banners actually be priced at? This builds each price from the ground up (materials + shipping + labor + Etsy fees), checks it against the market, and reveals what Kristol is really earning per hour today. Numbers come from `banner-cost-model.csv` (editable — change the assumptions and re-run `scripts/cost-model.ts`).

Read this caveat first. I don't have Kristol's real fabric costs or her actual time per banner, so the materials and labor figures below are **researched estimates, flagged for her to confirm**. The *method* is what matters — plug her real numbers into the CSV and it recalculates. Even so, the core conclusion is robust to wide swings in the estimates (explained at the end).

The one-line answer

Kristol is underpaying herself. Across the banners, today's prices pay her an average of ~\$9.79/hr for her labor (after materials and Etsy fees) — and as little as \$3.23/hr on the Birthday bunting. The market sells comparable items for **2–3× her prices**, and her items **sell out at a 5.7% conversion rate** — every signal says there's room to raise. Realistic, market-checked targets are in the table at the bottom; the biggest, safest wins are **rag garlands** and the **Birthday buntings**.

1. How the model is built

Price floor = Materials + Labor + Etsy fees. Anything below that loses money. Then a healthy handmade price adds profit on top (the standard rule is $retail = (materials + labor) \times 2-4$).

Materials (per banner) — estimated unit costs

Input	Assumed cost	Source / note
Quilting cotton	\$10 / yard	Mid-range retail (\$4–20 range; designer is more, scraps/sales less)
Cotton twill tape (pennant header)	\$0.30 / yard	\$0.16–0.75/yd depending on bulk
Twine / string (rag & bow garlands)	\$0.15 / banner	
HTV lettering (Birthday only)	\$0.60 / banner	
Thread / notions	\$0.25 / banner	
Packaging (mailer + tissue + card)	\$0.85 / order	

Fabric used per banner is estimated from the listing sizes (e.g. a 6ft rag garland $\approx$ 0.85 yd of strips; a 67" regular pennant $\approx$ 0.66 yd for 10 double-sided pennants). All editable in the script.

Labor

Estimated **batched** minutes per banner (cutting several at once, chain-sewing) — e.g. $\sim$ 52 min for a 6ft rag garland, $\sim$ 75 min for a 10-pennant 67" bunting. **This is the figure most worth Kristol correcting** — it drives everything.

Shipping — handled separately (not in the item price)

A fabric garland is light ($\sim$ 3–6 oz). **USPS Ground Advantage 2026** is $\sim$ \$5.90 (4 oz, near) rising to $\sim$ \$7–9 for heavier/farther zones. Kristol already charges **\$5.50** shipping on the site, which roughly covers postage — so shipping is $\sim$ break-even and is **excluded from the item prices below**. (If she switches to Etsy "free shipping," add $\sim$ \$6 to every price to keep the same take-home.)

Etsy fees

Built into every recommended price: **6.5% transaction + 3% processing + \$0.25 + \$0.20 listing $\approx$ 9.5% + \$0.45**. (If an order comes through Offsite Ads, add 15% — a reason to keep a margin cushion.)

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2. What Kristol earns per hour right now

This is the gut-punch. Taking each current price, subtracting materials and Etsy fees, and dividing the rest by the estimated labor time:

Banner	Current price	Earned per hour now
Birthday pennant (73")	\$15.00	\$3.23/hr 🚩
Mini pennant 48"	\$10.00	\$5.70/hr
Mini pennant 72"	\$15.00	\$6.83/hr
Regular pennant 67"	\$20.00	\$7.48/hr
Medium pennant 67"	\$18.00	\$8.46/hr
Regular pennant 48"	\$16.00	\$8.60/hr
Rag garland 6ft	\$20.00	\$9.12/hr
Medium pennant 48"	\$14.00	\$9.56/hr
Rag garland 5ft	\$17.50	\$10.20/hr
Rag garland 4ft	\$15.00	\$11.95/hr
Rag garland 3ft	\$12.00	\$12.38/hr
Bow garland 70"	\$25.00	\$14.44/hr
Bow garland 36"	\$20.00	\$19.35/hr ✅

Takeaways:

- The **Birthday bunting (\$3.23/hr)** is the single worst item — full-size 73" banner + HTV work for \$15.
- **Pennant buntings** (regular/medium/mini) cluster at **\$6–9/hr** — the most underpriced *category*.
- **Rag garlands** pay **\$9–12/hr** — modestly low, but they're the bestsellers, so even small raises add up fast.
- The **bow garland** is the one item priced about right — the 36" already earns ~\$19/hr. Good benchmark for what the others *should* feel like.

3. The market says there's room

Product	Kristol now	Market comparables
Rag garland 4–6 ft	\$15–20	\$44–76 (modernragquilts, 4allseasons Star Seller) — denser/quilted, but shows the ceiling
Fabric pennant bunting	\$14–20	average ~ \$18 ; larger double-sided cotton buntings commonly \$25–35
Mini bunting	\$10–15	\$12–20

Kristol sits at or **below the bottom** of every band — while running an **excellent 5.7% conversion rate** and **selling out** of bestsellers. That combination (low price + high conversion + stockouts) is the textbook signal that prices are too low.

4. Recommended prices (cost model and market, triangulated)

The model's "price to earn \$20/hr" is the objective anchor; where that lands above what the market pays (true for the big pennants), I pulled the recommendation **down to the realistic market** and note it. Where the market is far above (rag garlands), the recommendation is a **measured step up**, not the full jump — to protect that great conversion rate while you test.

Banner	Now	Recommended	Earns ~\$/hr at rec.	Market check
Rag garland 3 ft	\$12	\$15	~\$19	far below market
Rag garland 4 ft	\$15	\$18	~\$18	far below market
Rag garland 5 ft	\$17.50	\$22	~\$19	far below market
Rag garland 6 ft	\$20	\$26	~\$17	still well below \$44+ comps
Regular pennant 48"	\$16	\$20	~\$13	mid-market
Regular pennant 67"	\$20	\$28	~\$15	top of market (model wants \$37; market won't bear it)
Medium pennant 48"	\$14	\$18	~\$14	mid-market
Medium pennant 67"	\$18	\$24	~\$14	upper-mid market
Mini pennant 48"	\$10	\$12	~\$9	budget tier — keep affordable entry point
Mini pennant 72"	\$15	\$20	~\$12	mid-market
Bow garland 36"	\$20	\$20 (<i>keep</i>)	~\$19	already right
Bow garland 70"	\$25	\$30	~\$18	room exists
Birthday pennant 73"	\$15	\$22	~\$11	aligns to your own regular line + recovers margin

"Earns ~\$/hr at rec." uses the same estimated labor times — so even at the recommended prices, most banners pay \$13–19/hr, still modest for skilled handmade work. These are not aggressive numbers.

If you only change three things

1. **Birthday buntings** → **\$22** (from \$15). Worst margin in the shop; no market risk at \$22.
2. **Rag garlands** → **\$15 / \$18 / \$22 / \$26** (3/4/5/6 ft). Your bestsellers, and you're far under market — this is where the real money is.
3. **Largest pennants up ~\$6–8** (regular 67" → \$28, medium 67" → \$24, mini 72" → \$20). The big sizes are where the labor is and where today's pricing pays the least.

How to roll it out safely

- Raise **ahead of each season** (6–8 weeks before), when demand and search traffic rise — increases stick better and you're not discounting into a climbing market.
 - Change the **largest size first** and watch conversion for 1–2 weeks before moving the rest. Your stats already show the data to judge it.
 - Keep one **affordable entry size** per product (the small mini at ~\$12, small rag at \$15) so budget shoppers still convert.
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5. Why the conclusion holds even if my estimates are off

The recommendation ("raise, especially rag garlands and Birthday") survives big changes to the guesses:

- **If fabric is cheaper than \$10/yd** (scraps/sales) → margins are even thinner per *dollar of price*, so the underpricing case gets *stronger*, not weaker.
- **If Kristol is faster than estimated** → her hourly wage at current prices is higher, but the *market* comps (\$44–76 rag garlands, \$25–35 buntings) still sit far above her prices, so the raise is still justified — just framed as "matching the market" rather than "paying fair labor."
- **Only if she is BOTH much faster AND much cheaper on materials** would current prices be "fine" — and even then, the sell-outs and 5.7% conversion say she's leaving money on the table.

To make this exact, fill your **real** fabric cost and **real** minutes-per-banner into `scripts/cost-model.ts` (the ASSUMPTIONS block and ROWS table) and re-run — the whole table recalculates.

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Sources

- Fabric cost: [By the Yard — cost of quilting](#) · [fabric price guide](#)
- Shipping: [USPS Ground Advantage 2026 rates \(ClickPost\)](#) · [Parcelpath USPS 2026 rate chart](#)
- Twill tape: [Walmart binding/twill tape](#)
- Pricing formula: [Craftybase — how to price handmade](#) · [Made Urban pricing formula](#)
- Market comps: [Etsy fabric rag garland](#) · [Etsy fabric pennant banners](#) (avg ≈ €16.51)